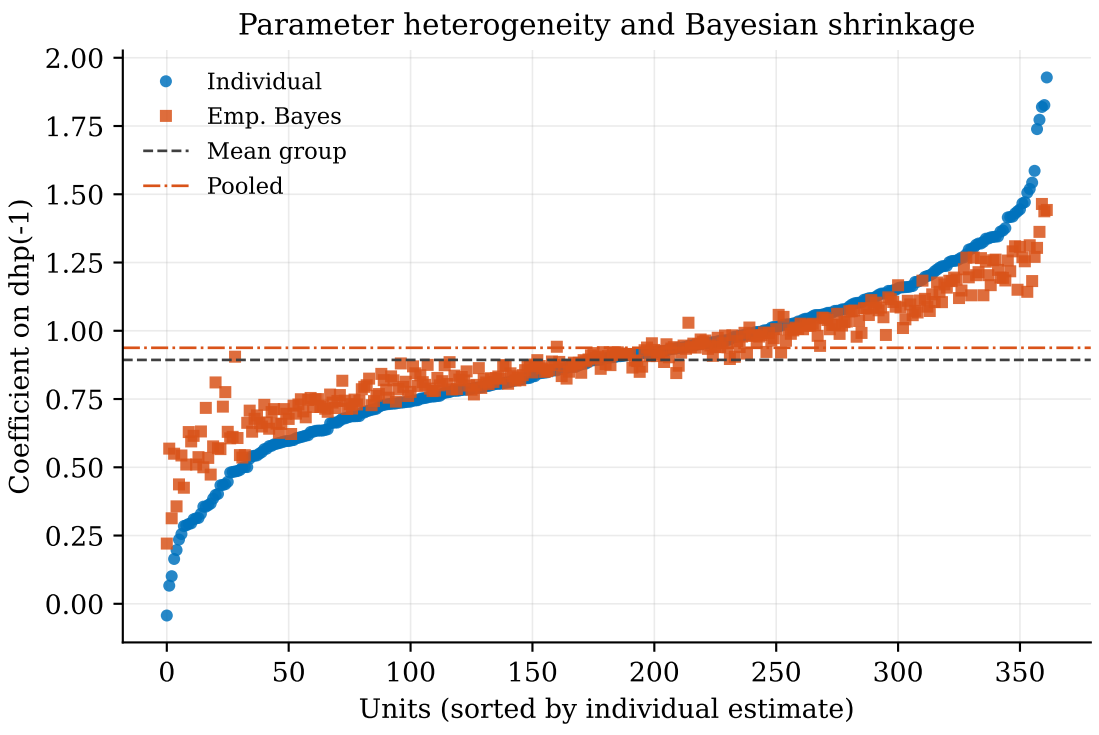
Parameter heterogeneity and Bayesian shrinkage
Individual
Emp. Bayes
Mean group
Pooled
Coefficient on dhp(-1)
2.00
1.75
1.50
1.25
1.00
0.75
0.50
0.25
0.00
0
50
100
150
200
250
300
350
Units (sorted by individual estimate)